RBI's Low Return on Investment Is a Large Cost to the Nation

RBI's 2019–20 foreign assets portfolio was worth Rs 35 lakh crore yielding a 1.36 per cent return, whereas the domestic assets portfolio earned 5.2 per cent, which was lower than the returns earned by other public-sector asset managers. This 3.86 per cent lower return on the foreign assets portfolio amounted to an income loss of Rs 1,35,100 crore. The cost of maintaining RBI's reserve assets and investing accumulated capital in low-yielding foreign currency assets is indeed staggering.

RBI is expected to have foreign currency assets of Rs 40 lakh crore in 2020–21. The returns environment on foreign currency assets has further deteriorated and is likely to be only about 1 per cent. Therefore, RBI is likely to earn only about Rs 40,000 crore of interest income on its foreign assets in 2020–21. If we assume an interest return of 6 per cent on its domestic portfolio, the loss of interest on the foreign assets portfolio would amount to Rs 2,00,000 crore.

RBI's surpluses are meant to be transferred to the Government of India. The loss of investment returns effectively amounts to corresponding lower income of the government. This is a large national loss.